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China Industrials | Asia Pacific

CIIF Trip Takeaways: AI Demand Intact

"Powering AI" and AI-related equipment/automation companies point to strong outlook, with growth trajectory intact, despite market concerns around AI ROIC, capex sustainability, funding, geopolitical risks, etc. Reiterate OW on Weichai Power.

We hosted a week-long industrials trip over mid-October with one day at the 26th China International Industrial Fair (CIIF 2026) event in Shanghai. We met with "Powering AI" companies Weichai Power (2338.HK/000338.SZ), Jereh (002353.SZ), Himile (002595.SZ), Tianrun Industry (002283.SZ); and AI-related equipment/ automation companies RoboTechnik (300757.SZ), Semight Instruments (688808.SH), Bozhon Precision (688097.SH), TOPNC (7688.HK).

CIIF 2026 reinforced the shift from standalone equipment innovation toward integrated, AI-native manufacturing ecosystems, which echoes our view of intelligence as one of the three key pillars (intelligence, resilience and leadership) in our BluePaper report, *China's Next Industrial Revolution*. This year, we observed a greater usage of AI (agent and physical AI) in real manufacturing; global companies strengthened the focus on China amid competitive pressures from local players; and semiconductor's emphasis was elevated, with its first dedicated exhibition hall. Also read CIIF Trip Takeaways: Intelligent/Humanoid Robots.

Powering AI – Outlook remains constructive, despite geopolitical concerns.

- **Weichai Power** reiterated its 2027 shipment guidance of 2k gas genset and 6k diesel engines for AIDC, with ample business opportunities to be unlocked, yet management sees modest impact from customers' geopolitical concerns regarding China's supply chain. Gas genset has been progressing on track, but 4Q revenue recognition might see logistic impacts. AIDC diesel engine ASP has been largely stable, with higher mix of large-power-output units, while some pricing pressure is seen in China and Southeast Asia markets amid competition. Effective capacity will reach 8-9k units for full-year 2027 (for both diesel and gas AIDC engines).
- **Jereh** is confident in delivering ~US$2.4-2.5bn worth of AIDC equipment in 2027, including both gas turbines and integrated products, with high visibility. Strong demand will drive more order wins, with limited impact seen from geopolitical concerns thanks to localized and global capacity. Jereh's gas turbine ASP has been rising to ~US$1.4-1.5mn/MW (before any discount), which also demonstrates strong demand. Most new orders will include integrated product offerings, driving additional upsides. Management reiterated 3GW of capacity by end 2027. Natural gas business growth trajectory is intact, despite near-term shipment delays in 3Q.

MORGAN STANLEY ASIA LIMITED+

Sheng Zhong
Equity Analyst
Sheng.Zhong@morganstanley.com +852 2239-7821

Andy Huang
Research Associate
Huang.Andy@morganstanley.com +852 3963-4023

Carlos Chai
Research Associate
Carlos.Chai@morganstanley.com +852 3963-3180

CHINA INDUSTRIALS

Asia Pacific
Industry View **In-Line**

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Continued

- For **component suppliers**, Himile (002595.SZ, NC) expects accelerating revenue growth in large gas turbine cylinder blocks (~10-20% in 2026, ~30% in 2027); while Tianrun's large engine crankshafts and connecting rods revenue is set to double in both 2026 and 2027, with the incremental growth driven by AIDC. Both are not hiking prices and do not see any bottleneck in expanding their capacity. Tianrun (002283.SZ, NC) management sees Weichai expanding capacity aggressively.

AI-related equipment – Robust growth trajectory intact. AI-related demand remains strong, and it is fueling growth opportunities not only for existing players but also new players leveraging technology know-how accumulated from other sectors. We see some Chinese players achieving competitive, even leading, positioning in certain areas, such as optical-module equipment. These players have successfully caught up to global players, amid technology iteration and upgrade.

Weichai Power – Detailed Takeaways

Reiterated AIDC guidance, despite modest impact from geopolitical concerns

AIDC gas genset – reiterated 2027 shipment guidance of 2k units:

- Small batches are now under installment/configuration in the US. Management continues to see 200 units of shipments this year, but revenue recognition could be affected due to shipments, custom clearing, etc.
- Some but not all of the 2k shipments in 2027 are secured with firm orders/ prepayment, while potential business opportunities remain robust, beyond 2k units, although the company senses some impact from geopolitical concerns during negotiations. Main customers are co-location data centers.

AIDC diesel engine – reiterated 2027 shipment guidance of 6k units:

- Management sees greater visibility on diesel engines' 6k guidance vs. gas engine's due to firmer support from secured orders and lower exposure to the US.
- We believe the ASP of slightly over Rmb2mn as largely stable, as the mix of large-power-output units is rising, while some pricing pressure is seen in China and Southeast Asia markets due to competition.
- Margin could expand slightly as the business scales.

Effective capacity will reach 8-9k units for full-year 2027 (for both diesel and gas AIDC engines) and 5-6k units by end-2026. Management does not see any major supply chain bottlenecks.

Non-AIDC businesses are largely stable:

- **(-) HDT Engine** LNG engine has been under pressure this year, but likely improving in 2027 management thinks. ASP has been largely stabilized after price cuts last year, with >Rmb10k net profit for diesel engines and >Rmb20k net profit for LNG engines.
- **(+) NEV powertrain** revenue could reach Rmb7-8bn this year (vs. Rmb3bn last year), with net margin expanding to ~2% (vs. ~1% last year) according to the company. It has planned capacity of 25-30GWh this year.
- **(+) Lovol agriculture machinery** revenue could reach ~Rmb20bn this year, with ~Rmb1-1.2bn net profit. Management sees ample upside given the market remains underpenetrated by Chinese players.
- The company has restarted its partnerships with Foton and LingGong to expand business opportunities.

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Valuation Methodology and Risks

WeiChai Power (000338.SZ)

Base case, derived from SoTP methodology:

- Traditional business ex-Kion, PSI: 10x 2027e P/E, broadly in line with 10-year historical average.
- AIDC business: 25x 2027e P/E, largely in-line with Innio and Caterpillar and reflecting Weichai's faster growth yet unproven track record in this newly expanded field.
- KION & PSI: Weichai's stakes are valued at their current market caps

Risks to Upside

- Stronger-than-expected powering AI capex globally.
- Better-than-expected volume growth in engine and HDT sales thanks to stronger policy stimulus.

Risks to Downside

- Slower-than-expected AIDC shipment to US customers.
- Market share loss in engine/HDT market.

WeiChai Power (2338.HK)

Derived from our Weichai-A PT of Rmb42 and a target A-H premium of 0%, based on an HK$/Rmb FX rate of 0.9.

Risks to Upside

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- Better-than-expected volume growth in engine and HDT sales thanks to stronger policy stimulus.

Risks to Downside

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(as of September 30, 2026)

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Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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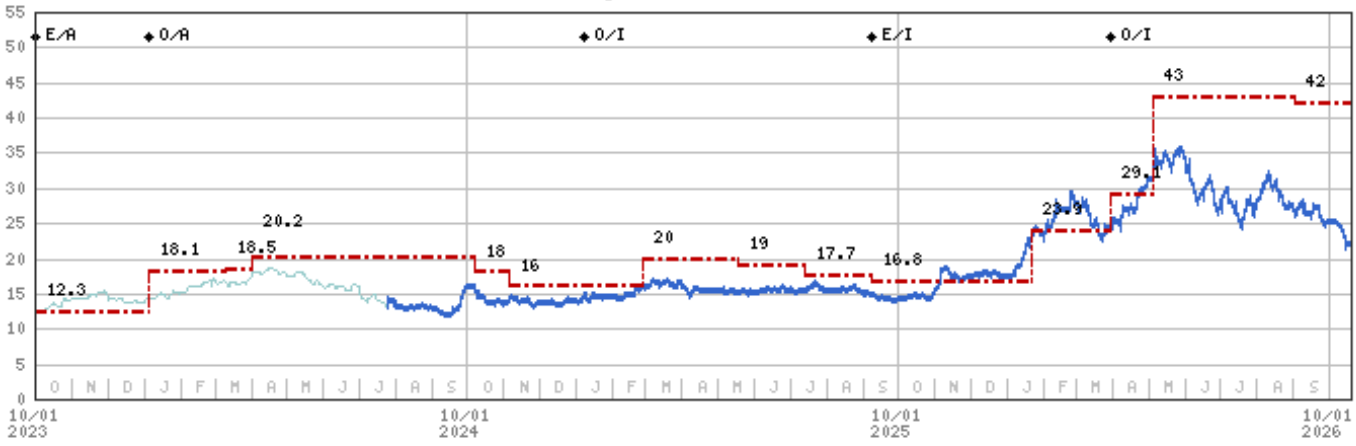
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Stock Price, Price Target and Rating History (See Rating Definitions)

WeiChai Power (000338.SZ) - As of 10/19/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 10/1/21 : E/I; 2/4/23 : E/A; 1/5/24 : O/A; 1/8/25 : O/I; 9/8/25 : E/I; 3/30/26 : O/I

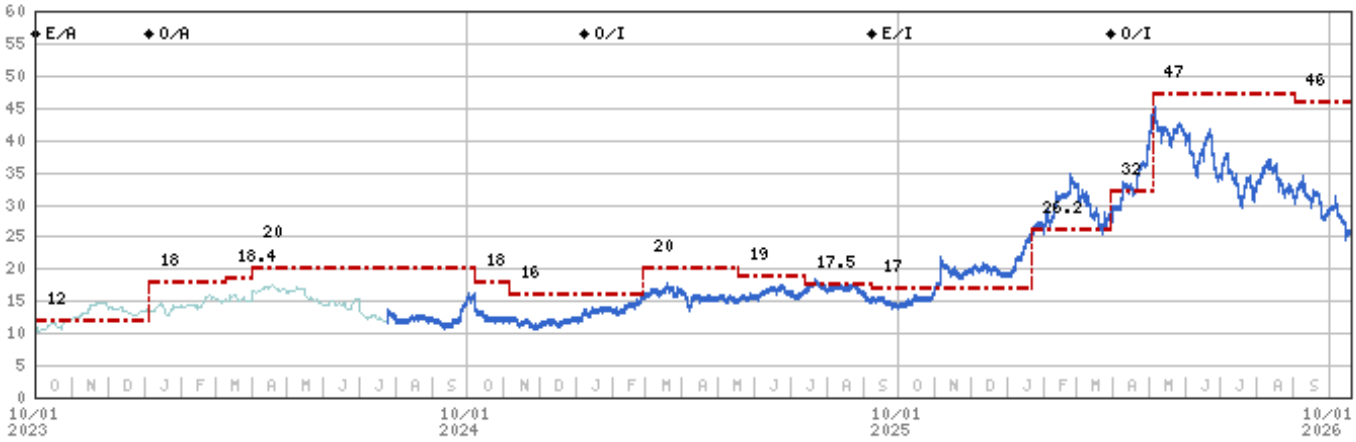
Price Target History: 9/8/21 : 19; 11/1/21 : 17.4; 4/4/22 : 17.12; 6/30/22 : 13.3; 12/13/22 : 9.4; 5/23/23 : 12.3; 1/5/24 : 18.1; 3/11/24 : 18.5; 4/2/24 : 20.2; 10/8/24 : 18; 11/5/24 : 16; 2/27/25 : 20; 5/19/25 : 19; 7/14/25 : 17.7; 9/8/25 : 16.8; 1/22/26 : 23.9; 3/30/26 : 29.1; 5/5/26 : 43; 9/2/26 : 42

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WeiChai Power (2338.HK) - As of 10/19/26 GMT in HKD
Industry : China Industrials



Stock Rating History: 10/1/21 : E/I; 2/4/23 : E/A; 1/5/24 : O/A; 1/8/25 : O/I; 9/8/25 : E/I; 3/30/26 : O/I

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/19/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.32
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.26
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.54
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb63.20
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.07
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb75.70
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb38.60
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb95.78
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb44.46
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$6.08
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$5.42
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.34
DR Laser (300776.SZ)	E (12/17/2021)	Rmb84.56
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb25.38
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$17.75
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb30.20
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb83.05
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb31.87
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb250.50
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb17.82
Shenzhen Inovance Technology (300124.SZ)	++	Rmb50.79
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb48.81
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$33.12
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb135.95
Times Electric (3898.HK)	E (01/22/2026)	HK$28.06
WeiChai Power (2338.HK)	O (03/30/2026)	HK$25.42
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb21.41
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb36.50
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb30.34
Yushu Technology Co., Ltd. (688836.SS)	E (09/30/2026)	Rmb495.92
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb52.32
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb17.30
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb36.06
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$5.30
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb6.02

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